



MAKING SENSE OF ESG INVESTING

It is important to understand the investment objective—whether one wishes to protect downside by ESG risk mitigation, or to generate alpha

BY PRIYANKA DHINGRA AND R. SRINIVASAN

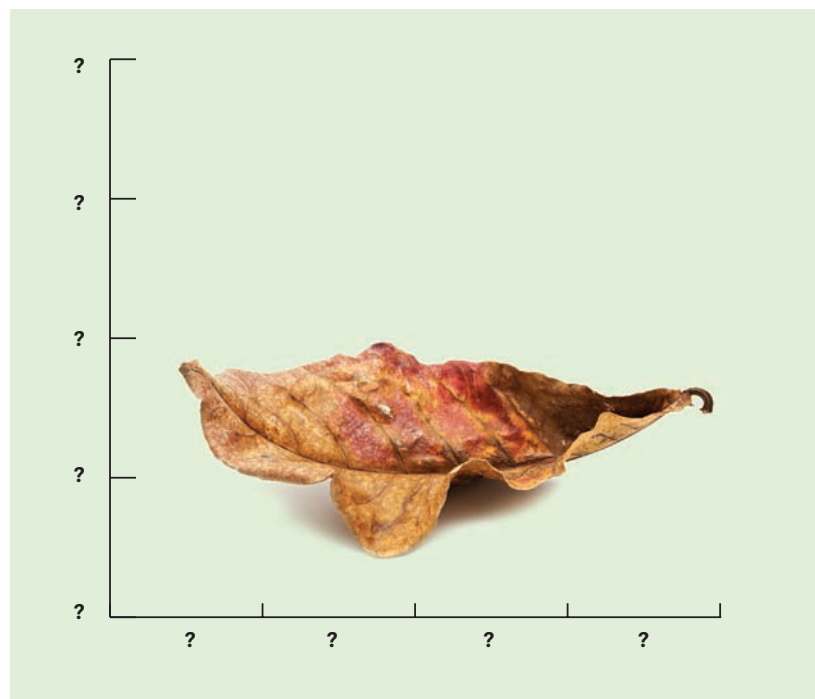


ILLUSTRATION BY ANIRBAN GHOSH

ENVIRONMENTAL, SOCIAL AND GOVERNANCE or ESG has become ubiquitous in recent years, finding a mention in almost every discussion in the financial world. Increasingly we keep hearing questions about whether ESG compliance can help companies drive better returns. In our understanding, ESG ‘compliance’ is a misnomer, or better yet, an oxymoron. We say this because there is currently no specific set of rules that describe ESG and, importantly, it is more than just compliance. The term compliance infers a mandate to do something, whereas ESG initiatives are undertaken proactively. There is a possibility that ESG will become a market-driven or regulator-driven mandate soon. Then the question around better returns becomes moot since everyone will need to be compliant.

The more relevant question is, what purpose does ESG serve? ESG should be looked at from two aspects: as a risk mitigation tool, and as a means to monetise new opportunities. This serves the dual purpose of safeguarding returns and

optimising them over the long term. When companies improve their policies, governance structures and programmes to ensure responsible behaviour towards stakeholders, they are essentially mitigating regulatory risks, ensuring a social licence to operate, and winning investor confidence. And when they are proactively investing in green technologies and social infrastructure, they are capitalising on new areas that may attract more investments. Consequently, ESG-conscious companies are in a better position to drive higher returns vis-à-vis companies that have had a history of poor governance or non-compliance with respect to environment, employees or communities, which tends to make investors wary of investing in them.

While all of this seems logical, investors may see companies focussed on ESG delivering lesser returns in the short run than those performing poorly on material ESG criteria. For instance, most ESG-themed funds would not invest in a business in alcohol or tobacco or weapons. But that doesn’t mean that these won’t do well financially—till demand for their products exists or is growing, they’ll keep doing well. In such a scenario, ESG becomes a choice that an investor consciously makes.

We need to understand the necessity of the ESG criteria beyond a sectoral bias. Any well-governed company is responsible towards its stakeholders and tries to improve,